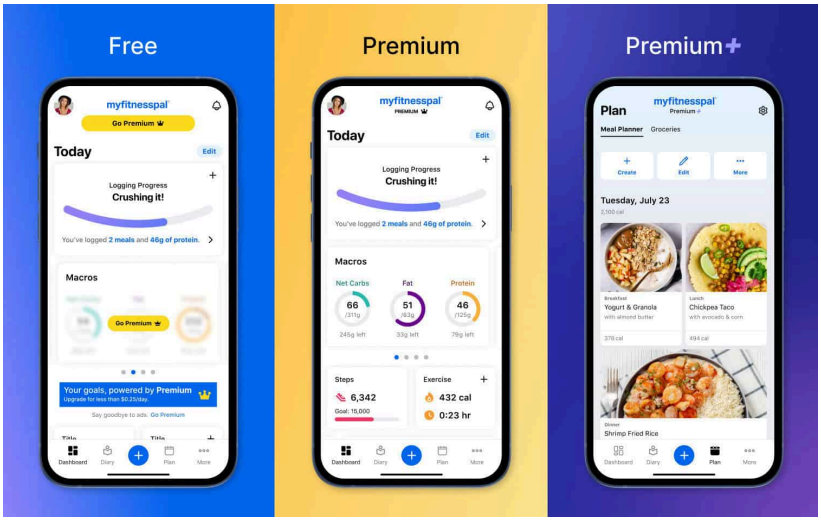
RE056 – Freemium vs Paid Model Comparison

Introduction

Food Remedy is moving towards its MVP launch and one of the most important decisions for early growth is choosing the right monetisation strategy. Since the app is designed to help users scan and search foods, and understand their dietary compatibility, the way revenue is introduced will directly affect both adoption and trust. This report looks at how similar apps in the health and wellness space structure their monetisation models, focusing on freemium, in app purchases, and premium subscriptions. Based on competitor analysis and industry patterns, the recommendation will outline which path is most suitable for Food Remedy's MVP.

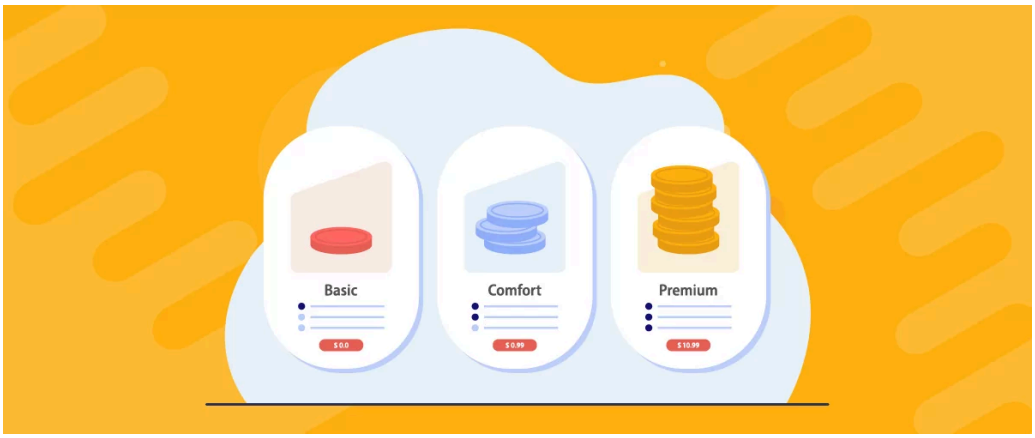
Competitor Analysis

Many successful apps in the food and wellness category use a freemium model as their foundation. For example, apps like *MyFitnessPal*, *Yazio*, and *Lifesum* all offer a free base tier where users can log or scan food items. However, the free experience often includes ads or has limitations that encourage users to upgrade. The advantage here is that the barrier to entry is low, people can download and try the app without hesitation. But relying on ads to monetise the free tier has downsides. Ads in a health focused app can feel intrusive or mismatched to the app's values, especially if users are shown promotions for unhealthy products. Competitors generally position ads as a temporary experience, users can remove them once they upgrade.



Another approach is freemium with in app purchases. A good example is *Yuka*, which allows free scanning but charges users for deeper reports or premium packs. The strength of this model is flexibility, users only pay for what they want, which feels fair and accessible. However, revenue from this model can be unpredictable, and if too many features are locked behind small payments, the app can feel fragmented or confusing. In health and wellness, clarity is important, so in app purchases alone are usually not the main driver.

The most common and successful strategy for apps that scale well in this sector is the premium subscription tier. Apps like *MyFitnessPal Premium*, *Noom*, and *Headspace* rely heavily on monthly or yearly subscription income. In this model, the free version gives users enough value to engage and stick around, while the subscription unlocks advanced functionality, unlimited scans, personalised insights, detailed remedy suggestions, or exclusive content. The subscription path gives apps more predictable recurring revenue, which is critical for growth. The challenge, however, is proving enough value in the free tier to encourage users to pay. Conversions typically rely on building trust and demonstrating how the premium tier will directly improve a user's experience or health outcomes.



Monetisation Model Comparison

Model	How It Works	Pros	Cons
Freemium + Ads	Free access but supported by ads, users can pay to remove ads	Low entry barrier, revenue from all users	Ads harm trust in health apps, low revenue per user
Freemium + In-App Purchases	Free core features, optional paid add ons (e.g. reports)	Flexible and accessible, users only pay for what they want	Revenue is unpredictable, can feel fragmented
Premium Subscription	Free base tier, recurring monthly/annual	Predictable revenue, aligns with advanced	Harder to convert users, requires

	subscription for advanced features	functionality, clear value exchange	strong premium value

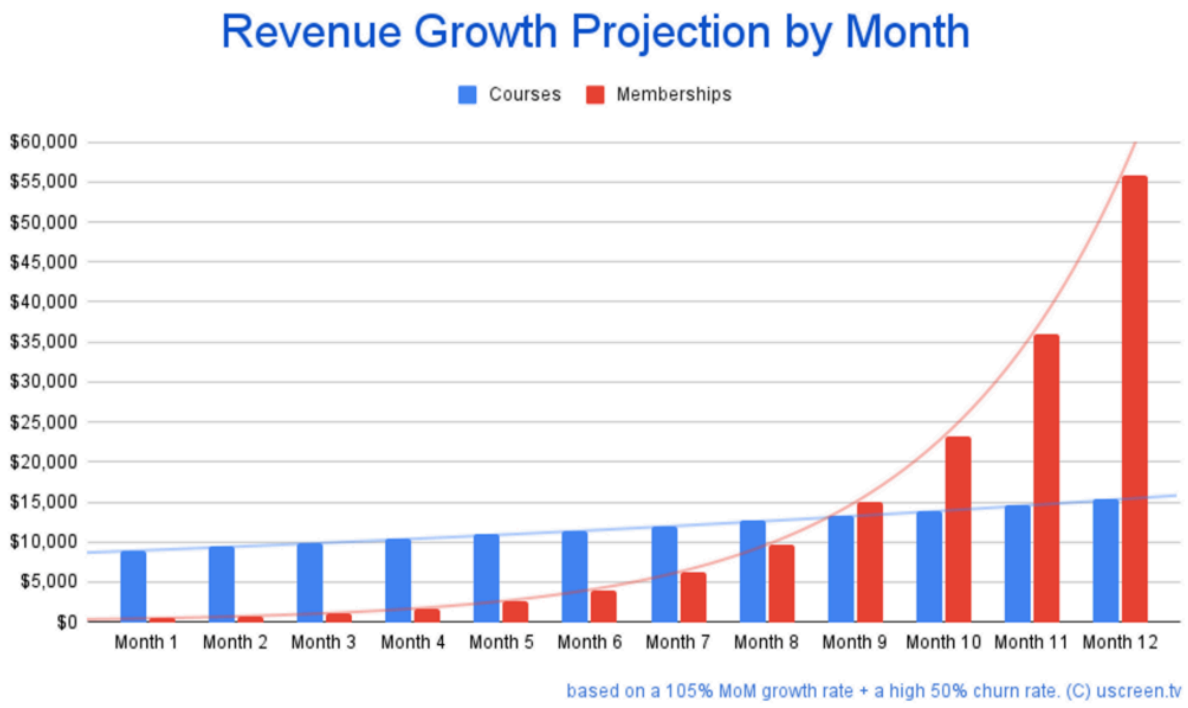
Recommendation for Food Remedy MVP

For Food Remedy's MVP, the most effective approach is a freemium model with a premium subscription tier, while deliberately avoiding ads at this stage. Ads may generate small amounts of revenue, but they can quickly undermine trust, especially since Food Remedy positions itself as a tool to improve health and wellbeing. Instead, the focus should be on delivering a smooth, ad free experience that builds credibility with early adopters.

The free tier should include core functionality, scanning food items, getting basic compatibility information, and limited remedies. This ensures new users can immediately see the value of the app. At the same time, the free tier creates natural incentives to upgrade, for example, limiting the number of scans per day, or showing only basic insights while premium users access advanced, personalised suggestions.

The premium tier, offered as a monthly or annual subscription, would unlock the full Food Remedy experience. This could include unlimited scans, deeper nutritional breakdowns, personalised dietary insights, and early access to new features. Subscription also ensures the product has a stable revenue stream to support growth and future feature development.

In the longer term, Food Remedy could experiment with optional in app purchases, for example, one off reports or personalised diet plans. However, these should remain secondary to the subscription model, which is both more reliable and better aligned with user expectations in the health app space.



The chart above shows that memberships increase much more over time compared to one off courses. Course sales stay mostly the same each month, but memberships keep building because people continue paying every month. This steady increase makes subscriptions a stronger choice for Food Remedy, as they create ongoing support and help the app grow long term.

Conclusion

Competitors in the wellness and food sector show a clear trend, freemium models drive adoption, but subscriptions sustain growth. In app purchases are useful additions, but rarely form the backbone of monetisation. For Food Remedy's MVP, adopting a freemium model with premium subscriptions is the best option. It avoids the pitfalls of ads, supports wide adoption, and creates a clear upgrade path that aligns with industry standards. This approach will help Food Remedy grow its user base quickly while laying down a reliable revenue model to support long term success.